

Rates Weekly — Macro Manv

SETUP · What to watch this week · Week of 11 May 2026

Week of 11 May 2026 — What to watch

The following is the model-derived relative value setup for the week ahead. All signals are based on carry, roll, and z-score dislocation — not forecasts.

CURVE SNAPSHOT

Tenor	Level (%)	ΔW (bps)	Δ1M (bps)	Z (252d)
1M	3.720	-2.0	-3.0	-0.99
3M	3.700	-3.0	-2.0	-0.81
6M	3.720	-3.0	+2.0	-0.28
1Y	3.680	-9.0	+2.0	+0.28
2Y	3.790	-9.0	+6.0	+1.67
3Y	3.820	-12.0	+8.0	+1.92
5Y	3.940	-12.0	+7.0	+1.87
7Y	4.120	-13.0	+5.0	+1.69
10Y	4.310	-13.0	+3.0	+1.35
20Y	4.880	-11.0	-1.0	+1.27
30Y	4.880	-10.0	-2.0	+0.99

HIGHEST CONVICTION RV SIGNAL

Receive 2Y5Y30Y fly

Tags: #HighConviction #Fly #FrontEnd #Belly #LongEnd

Top-ranked structure on the screen with Sharpe **+0.71**, expected return **+17 bps/yr**, and risk 24. The structure trades modestly below fair value (z-score -0.66).

Why now: Dislocation has not fully normalised — carry is supportive while valuation remains cheap.

Regime fit: best in lower-vol, shock-fading environment.

Risk: renewed long-end selling or vol spike would delay reversion.

THEME BUILDING ACROSS THE CURVE

Signals are clustering in **5Y/30Y**-led receiver structures, including 3Y5Y30Y fly, 3Y5Y20Y fly, 2Y5Y20Y fly. This suggests the opportunity is thematic rather than isolated.

TOP SIGNALS BY SHARPE

Trade	Type	Z	E[Ret] bps/yr	Risk bps/yr	Sharpe	ΔW bps
Rcv 2Y/5Y/30Y	Fly	-0.66	+17	24	+0.71	+0.0

Trade	Type	Z	E[Ret] bps/yr	Risk bps/yr	Sharpe	ΔW bps
Rcv 3Y/5Y/30Y	Fly	+0.69	+14	20	+0.70	-1.2
Rcv 3Y/5Y/20Y	Fly	+0.32	+12	18	+0.66	-0.6
Rcv 2Y/5Y/20Y	Fly	-0.75	+15	25	+0.60	+0.5
Rcv 7Y/10Y/30Y	Fly	-0.57	+7	13	+0.55	-2.6
Rcv 3Y/7Y/30Y	Fly	-1.64	+11	23	+0.48	+1.7
Rcv 7Y/10Y/20Y	Fly	-1.76	+5	13	+0.43	-1.2
Rcv 3Y/5Y/10Y	Fly	-0.33	+6	15	+0.41	+1.5
Rcv 2Y/7Y/30Y	Fly	-1.27	+14	38	+0.37	+2.0
Rcv 3Y/7Y/20Y	Fly	-1.73	+9	25	+0.37	+2.3
Rcv 2Y/5Y/10Y	Fly	-0.89	+9	28	+0.32	+1.9
Rcv 5Y/7Y/30Y	Fly	+1.35	+7	21	+0.32	-4.5
Rcv 2Y/7Y/20Y	Fly	-1.31	+12	40	+0.31	+2.4
Rcv 3Y/5Y/7Y	Fly	-1.32	+6	18	+0.31	+3.1
Rcv 5Y/7Y/20Y	Fly	+1.06	+5	17	+0.29	-3.5

MOST STRETCHED — WATCH FOR REVERSAL

Receive 2Y/30Y curve — moved +63.9 bps last week and now screens cheap at z-score -1.67. Watch for mean reversion if vol stabilises.





Model estimates only · Not investment advice · Data sourced from public APIs